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County: los-angeles

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TENTATIVE

RULING

DEPARTMENT

207

HEARING DATE

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MATTER

Request

for Default Judgment

On May 28, 2024, Plaintiff Ceragem International, Inc. ("Plaintiff") brought suit against Defendants Sungchil Baek ("Baek") and Hong Min Kim ("Kim") alleging four causes of action for (1) breach of contract; (2) fraud and deceit; (3) conversion; and (4) common counts. The proof of service indicates Baek was served with the summons and complaint by substitute service on June 3, 2024, and default was entered on August 6, 2024. Similarly, Kim was served by

substitute service on May 31, 2024, and default was entered on August 6, 2024. The Doe defendants were dismissed on March 10, 2025.

On March 5, 2025, Plaintiff requested default judgment as to both defendants in the amount of \$224,144.97, representing special damages in the amount of \$204,379 and interest in the amount of \$19,765.97.

On February 5, 2025, Baek moved to vacate the entry of default, which the Court granted on April 2, 2025. (See Minute Order, April 2, 2025.)

After Baek's counsel withdrew his representation and Baek failed to appear at deposition and failed to respond to discovery, Plaintiff again filed for entry of default against Baek on July 28, 2025, which was entered on July 29, 2025.

At October 6, 2025, the Court held a Case Management Conference, Order to Show Cause re Default Judgment, and Informal Discovery Conference. Baek appeared remotely at the hearing, assisted by a Korean interpreter. In furtherance of the Court's guidance regarding the strong public policy favoring litigating cases on the merits, Plaintiff attempted to obtain Baek's stipulation to set aside the default, but Baek did not reply. Notwithstanding, Plaintiff filed a motion to set aside Baek's default, and the Court granted the unopposed motion on January 21, 2026.

Also on January 21, 2026, the Court analyzed the request for default judgment as to Kim only, which the Court denied without prejudice, finding Plaintiff had only substantiated damages in the amount of \$5,929.

On February 24, 2026, the Court deemed admitted the matters specified in the RFA propounded on Baek. And on August 11, 2026, the Court entered default against Baek.

Plaintiff now moves for default judgment against both Defendants in the amount of \$201,892.44, comprised of \$200,000 in special damages and costs in the amount of \$1,892.44.

A. Damages

Plaintiff's Complaint seeks \$200,000

in special damages. (See Complaint ¶¶ 10, 18, 23.) Therefore, Plaintiff does not seek damages in excess of what is pled in the Complaint.

(See Code Civ. Proc., § 580, subd. (a) ["The relief granted to the plaintiff, if there is no answer, cannot exceed that demanded in the complaint"]; Levine v. Smith (2006) 145 Cal.App.4th 1131, 1136-1137 ["when recovering damages in a default judgment, the plaintiff is limited to the damages specified in the complaint"].)

In connection with Plaintiff's prior request for default judgment against Kim only, Plaintiff advanced the Declaration of Changyoul Yang aka Biran Yang, Plaintiff's CEO, which provides:

7. On or about September 12, 2022, the Company and Defendant Baek entered into an employment agreement that included all terms in the Handbook. Baek's title was Director of Financial Planning and Analysis (FP&A). Baek's duties included financial planning, budgeting, forecasting, and analysis functions within the accounting department. Baek's salary was \$110,000 per year.

8. On or about October 9, 2023, the Company and Defendant Kim entered into an employment agreement that included all terms in the Handbook. Kim's title was Senior Manager of Logistics/SCM (Supply Chain Manager). Kim's duties included liaising with warehouses and carriers, inventory control, processes order entries and timely delivery, managing 3PL, logistics/SCM system maintenance and implementation. Kim's salary was \$90,000 per year. A true and correct copy of Kim's offer letter signed by Kim is attached hereto as Exhibit "C".

9. Subject to the policies referenced above as part of the Handbook, CERAGEM issued corporate credit cards to various executives and department heads.

10. The corporate credit card issued to Baek was Chase Bank, #4246-3153-6494-3397 ("CC 3397") and the one issued to Kim was Chase Bank, #4246-3153-8408-3411 ("CC 3411")

11. On or about January 21, 2024, I requested Baek to give me a report of all costs for business trips and entertainment expenses related to CERAGEM's corporate card charges for the last six (6) months. Baek never

provided the report.

12. On or about April 10, 2024, I personally checked the bank account record for each corporate credit card. I discovered that Baek and Kim had been using their corporate credit cards (CC 3397 and CC 3411) for unauthorized and personal use.

13. Subsequently, I caused CERAGEM to investigate the matter and discovered the facts presented in the Complaint, namely, that Baek and Kim used CC 3397 and CC 3341 totaling approximately \$200,000 during the period of October 2023 through April 2024 for non-business expenditures at hostess clubs, karaoke bars, restaurants, and gas stations that included payments for alcohol, food, hostesses, kickbacks from said establishments, and gas.

14. CERAGEM and I did not find out about Kim's and Baek's unauthorized use of the credit cards because as the Director of Financial Planning and Analysis (FP&A), Baek had control over CERAGEM's bank account. To cover up, Baek paid down the credit cards before the monthly statements were issued as to minimize the outstanding balance for each statement.

15. Neither Baek nor Kim had authority to use CERAGEM's credit cards for personal or non-business expenditures.

16. I nor CERAGEM consented to the unauthorized charges and were not ratified by me or CERAGEM.

17. On or about April 17, 2024, I presented a statement ("Statement") to Baek and Kim of all unauthorized credit card charges on CC 3397 and CC 3411 from 10/18/2023 through 4/10/2024 totaling \$192,645.81. Both Baek and Kim acknowledged their wrongdoing and the truths of the Statement by signing their respective names under the handwritten admission that, "I admit this statement and I'll pay an additional amount if we find other expenses related to this." A true and correct copy of the Statement is attached hereto as Exhibit "D".

18. Upon further investigation, the total amounts of non-business charges used were \$198,450 on CC 3397 and \$5,929 on CC 3411 totaling \$204,379.

(Yang
Decl. ¶¶ 7-18.)

Attached to the Yang declaration are copies of the employee handbooks and expense policy, Kim's employment offer letter, an accounting statement of the improper charges for both credit cards totaling \$192,645.81, and a handwritten statement at the bottom indicating, "I admit this statement and I'll pay an additional amount if we find other expenses related to this" apparently signed by "Nathan Baek" and "Pedro Kim" and dated April 17, 2025, termination letters for embezzlement, and unemployment claim documentation and a police report that also indicate Defendants were terminated for embezzlement.

The Court previously held that while Plaintiff had demonstrated Baek was involved in charges made to both cards, by virtue of strategically paying down the balances on both cards so to avoid arousing suspicion, as to Kim, Plaintiff had only demonstrated Kim's involvement in the \$5,929 in charges made to the account ending in 3411.

Plaintiff also advances the Declaration of Gi Nam Lee, Plaintiff's counsel, which provides as follows:

16. The matters deemed admitted by the February 24, 2026 Order include, without limitation, the following, each of which bears directly on Defendant Kim's participation in the unauthorized charges made on corporate credit card no. 4246-3153-6494-3397 ("CC 3397"), the card issued to Baek:

- a. Request for Admission No. 38: that between October 2023 and April 2024, Baek was aware that Kim was making unauthorized charges on corporate credit card no. 4246-3153- 8408-3411 ("CC 3411");
- b. Request for Admission No. 39: that between October 2023 and April 2024, Kim was aware that Baek was making unauthorized charges on CC 3397;
- c. Request for Admission No. 40: that between October 2023 and April 2024, Kim was physically present at each location when Baek made the unauthorized charges on CC 3397;

- d. Request for Admission No. 40 (the second request bearing that number): that between October 2023 and April 2024, Kim asked Baek to use CC 3397 for the unauthorized charges;
- e. Request for Admission No. 41: that Baek and Kim acted in concert to use CC 3397 and/or CC 3411 for unauthorized personal expenditures;
- f. Request for Admission No. 42: that on one or more occasions between October 2023 and April 2024, Baek caused payments to be made from CERAGEM's bank account to Chase Bank to pay down the balance on Kim's corporate credit card, CC 3411, for the purpose of concealing the unauthorized charges;
- g. Request for Admission No. 43: that the unauthorized charges listed on the April 17, 2024 statement, which Baek admitted, included charges made by Kim on CC 3411; and h. Request for Admission No. 44: that Baek has not reimbursed Plaintiff for any portion of the \$204,379.00 in unauthorized charges made on CC 3397 and CC 3411.

17. The matters deemed admitted also establish Baek's own liability, including that Plaintiff issued Baek CC 3397 for authorized business expenditures only (RFA No. 10); that he was not authorized to use it for personal expenses, for karaoke bars, hostess clubs or room salons, or for alcohol outside a pre-approved business meal (RFA Nos. 11-13); that between October 2023 and April 2024 he made approximately \$198,450.00 in charges to CC 3397 that were not for legitimate business purposes (RFA No. 14); that he obtained no advance authorization and provided no itemized receipts (RFA Nos. 18-19); that he had access to and control over CERAGEM's bank account records and caused payments to be made to pay down CC 3397 before the monthly statements were generated for the purpose of concealing the charges from management (RFA Nos. 20-22); that he signed the April 17, 2024 statement itemizing \$192,645.81 in unauthorized charges and thereby acknowledged that those charges were unauthorized and acknowledged his wrongdoing (RFA Nos. 26-31); and that Plaintiff terminated him on April 22, 2024 for gross misconduct and embezzlement (RFA No. 32). As used in the Request for Admissions, the defined term "UNAUTHORIZED CHARGES" means, in relevant part, "any and all expenditures made using CC 3397 and/or CC 3411 between October 2023 and April 2024 that were not for legitimate, pre-approved business purposes of CERAGEM This includes the charges totaling \$198,450 on CC 3397 and \$5,929 on CC 3411." (Request for Admissions, Set One, Definition H;

Exhibit "D".)

18. On or about March 5, 2025, in support of Plaintiff's Application for Default Judgment, Plaintiff submitted the Declaration of Changyoul Yang aka Brian Yang, executed February 26, 2025, together with Exhibits "A" through "H" thereto, comprising the Workplace Conduct Policy, the Employee Handbook, Kim's signed offer letter, the April 17, 2024 statement of unauthorized charges signed by Baek and Kim, the Notice to Employee as to Change in Relationship issued to Baek, the Notice to Employee as to Change in Relationship issued to Kim, Baek's EDD claim and CERAGEM's response, and the redacted Beverly Hills Police Department report. Pursuant to the Court's Minute Order, Plaintiff need not re-file that declaration and does not do so; for the Court's convenience, a true and correct copy is attached hereto as Exhibit "8". Plaintiff relies upon that declaration, and in particular upon paragraphs 17, 18, 19 and 27 thereof, in support of this renewed request.

(Lee
Decl. ¶¶ 16-18.)

While Plaintiff has demonstrated judgment appropriate against Baek in the full amount, Plaintiff has still not demonstrated entitlement to judgment against Kim in an amount greater than the \$5,929 charged to Kim's card.

"Any matter admitted in response to a request for admission is conclusively established against the party making the admission in the pending action[.] [...] [A]ny admission made by a party under this section is binding only on that party and is made for the purpose of the pending action only. It is not an admission by that party for any other purpose, and it shall not be used in any manner against that party in any other proceeding." (Code Civ. Proc., § 2033.410, emphasis added.) Indeed, "an agent's deemed admissions do not bind the principal codefendant, even when the basis for the action against the principal codefendant is vicarious liability arising from the acts of the agent. To hold otherwise would directly contradict the plain language of section 2033.410." (Inzunza v. Naranjo (2023) 94 Cal.App.5th 736, 746.)

As such, the evidence of the matters deemed admitted as to Baek are not binding on Kim and cannot be used to

establish liability on the part of Kim as to the \$198,450 charged to the account ending in 3397.

Therefore, the Court finds Plaintiff is entitled to judgment damages in the amount of \$200,000 as to Baek, of which Kim is jointly and severally liable for only \$5,929.

B. Costs

Code of Civil Procedure

section 1033.5 outlines recoverable costs to a prevailing party under Code of Civil Procedure section 1032. The Code of Civil Procedure defines the “prevailing party” as follows:

[T]he party with a net monetary recovery, a defendant in whose favor a dismissal is entered, a defendant where neither plaintiff nor defendant obtains any relief, and a defendant as against those plaintiffs who do not recover any relief against that defendant. If any party recovers other than monetary relief and in situations other than as specified, the “prevailing party” shall be as determined by the court, and under those circumstances, the court, in its discretion, may allow costs or not and, if allowed, may apportion costs between the parties on the same or adverse sides pursuant to rules adopted under Section 1034.

(Code

Civ. Proc., § 1032, subd. (a)(4).)

Plaintiff seeks

costs in the amount of \$1,892.44, comprised of filing and motion fees in the amount of \$508.41, jury fees in the amount of \$150, deposition costs in the amount of \$912, interpreter fees in the amount of \$142.08, and electronic filing/service fees in the amount of \$179.95.

(See Memorandum of Costs.) Plaintiff's request for costs is granted as Plaintiff is the prevailing party in this action. (Code Civ. Proc., § 1032, subd. (a)(4).)

CONCLUSION

Plaintiff's

request for default judgment is granted, in part, as follows:

Plaintiff is

entitled to judgment in the amount of \$201,892.44, comprised of \$200,000 in special damages and \$1,892.44 in costs against Defendant Baek, of which, Kim, is jointly and severally liable for \$7,821.44, comprised of special damages in the amount of \$5,929 and costs in the amount of \$1,892.44.

Plaintiff shall

lodge an amended proposed Judgment in conformance with the Court's ruling on or before September 24, 2026, and the Court continues the Order to Show Cause re Entry of Default Judgment to October 2, 2026 at 8:30 A.M. in Department 207.

If

the Judgment is entered before October 2, 2026, the Court will discharge the Order to Show Cause and no appearance will be necessary.

DATED: September 17, 2026 /s/_____

Michael

E. Whitaker

Judge

of the Superior Court